Introduction to Promissory Estoppel

English contract law | Study guide | Reliance on a promise concerning existing rights

1. A promise concerning existing rights

Promissory estoppel is an equitable doctrine. Where parties already have a legal relationship, it can prevent one party from insisting on a strict legal right after clearly promising to relax its enforcement. The principle can apply even where the other party gave no fresh *consideration* in exchange for the concession.

2. What to look for

Clear assurance. Did the party entitled to enforce the right give a clear assurance, by words or conduct, that it would accept reduced or deferred performance? Read the assurance in context and identify its scope.

Reliance. Did the recipient act, or refrain from acting, on the faith of the assurance? Look for a concrete change in how the recipient arranged its affairs.

Inequity. Would it be inequitable, given the parties' dealings, to allow the promisor to insist on the original right? In *Hughes*, negotiations over the purchase of a lease led the tenant to treat a repair deadline as suspended.

3. High Trees and the wartime rent reduction

Central London Property Trust Ltd v High Trees House Ltd [1947] KB 130

Under a 1937 lease of a block of flats, the annual rent was £2,500. Wartime vacancies led the landlord to confirm a reduction to £1,250 in 1940. The tenant paid at the reduced rate. By early 1945 the flats were fully let.

Decision. Denning J awarded the rent difference for the two quarters claimed, ending in September and December 1945. He read the concession as limited to the period of low occupancy.

> **Obiter dictum.** Denning J also indicated that equity would have barred recovery of the difference for the period covered by the concession. That period was outside the claim he had to decide.

The Scope of the Protection

1. The doctrine as a defence

Combe v Combe [1951] 2 KB 215 (case note)

A former wife sought to enforce her former husband's promise to pay £100 a year. The Court of Appeal held that promissory estoppel could restrain the enforcement of existing rights, but the claim for maintenance still needed an independent legal basis. The promise lacked consideration. This is the point of the familiar image of a *shield* and a *sword*.

2. When the original right can be enforced again

Start with the period and conditions covered by the promise. In *High Trees*, the concession ended when the flats became fully let. Where an ongoing right has been suspended, reasonable notice may be needed before it can be enforced again for the future, as *Tool Metal* illustrates.

The parties' conduct also matters. In *D & C Builders v Rees*, the debtor's side exploited the builders' financial difficulties to secure a reduced settlement. Equity gave the debtor no protection.

3. Apply the doctrine to a storage contract

A warehouse operator promises to accept £600 instead of £1,000 per month from April through June. Relying on the promise, the customer pays £600 each month and turns down a firm offer of cheaper storage. In July the operator demands the £1,200 difference for April through June, as well as the usual July fee.

> The customer has a credible estoppel defence to the £1,200 claim. It rests on the clear concession, reliance and the unfairness of reversing it retrospectively. The usual £1,000 fee is payable for July, which falls outside the stated concession.

Selected authorities

Central London Property Trust Ltd v High Trees House Ltd [1947] KB 130

Hughes v Metropolitan Railway Co (1877) 2 App Cas 439

Combe v Combe [1951] 2 KB 215 (case note)

Tool Metal Manufacturing Co Ltd v Tungsten Electric Co Ltd [1955] 1 WLR 761

D & C Builders Ltd v Rees [1966] 2 QB 617